

UNIT 1- INTRODUCTION TO MANAGEMENT

DEFINITIONS OF MANAGEMENT

1. **Mary Parker Follett:**

"Management is an art of getting things done through people."

Example: A project manager ensuring a team meets deadlines through delegation and collaboration.

2. **Prof. Moore:**

"Management is a process of planning, organizing, staffing, directing, and controlling to accomplish organizational objectives through the coordinated use of human and material skills."

Example: A factory manager using workers, materials, and machinery to produce goods efficiently.

3. **Koontz:**

"Management is the process of designing and maintaining an environment in which individuals working together in groups, accomplish their aims efficiently and effectively."

Example: A school principal fostering teamwork among teachers to improve student outcomes.

ROLES OF A MANAGER

Managers are responsible for implementing and evaluating organizational structures. Their tasks may include:

- **Creating goals and objectives**

Example: Setting a goal to increase market share by 10% in one year.

- **Creating schedules**

Example: Preparing a shift schedule for customer service representatives.

- **Developing strategies to improve productivity and efficiency**

Example: Implementing automation to reduce manual errors.

- **Ensuring compliance with policies and regulations**

Example: A bank manager ensuring adherence to anti-money laundering laws.

- **Mentoring employees**

Example: A senior employee guiding a new hire on using company software.

- **Monitoring budgets and performance**

Example: Reviewing monthly expenses to ensure profitability.

- **Resolving customer issues**

Example: Handling a complaint about late delivery of products.

- **Training staff**

Example: Conducting workshops to improve teamwork.

WHY ARE MANAGERS IMPORTANT?

1. Managers help organizations navigate complex environments.

Managers play a crucial role in handling uncertain and rapidly changing business conditions, including:

- Economic fluctuations
- Technological advancements
- Globalization

Example:

John Zapp, a general manager of multiple car dealerships, responded to economic challenges by focusing on selling more used cars, managing inventory, and motivating his salespeople through cash incentives.

2. Managers ensure organizational efficiency and effectiveness.

Managers create and coordinate systems to enable employees to perform their tasks efficiently. They do not perform every job but ensure that work is structured correctly.

Example:

Lisa, a restaurant manager, does not personally greet customers or cook meals but ensures that the staff is organized, resources are available, and operations run smoothly.

3. Managers significantly impact employee productivity and engagement.

Studies have shown that:

- The quality of the relationship between employees and managers is the most critical factor in job satisfaction.
- Effective management improves financial performance.
- Managerial skills create long-term organizational value.

Example:

According to the Gallup Organization, strong employee-manager relationships lead to higher employee loyalty and productivity.

WHO ARE MANAGERS AND WHERE DO THEY WORK?

Managers are found across industries and organizations, including:

- Large corporations
- Government agencies
- Nonprofits

- Small businesses
- Schools and hospitals
- Political campaigns and music tours

Managers also vary by experience and background, from young entrepreneurs to seasoned executives. Women now occupy managerial positions, though top executive roles remain male-dominated.

WHO IS A MANAGER?

Traditionally, managers were those who gave instructions and supervised employees. However, modern workplaces blur the line between managers and non-managerial employees.

Example:

At General Cable Corporation's facility in Moose Jaw, employees take on multiple roles, including team leadership, equipment operation, maintenance, and quality inspection. This shift requires workers to engage in managerial functions as well.

Definition of a Manager:

A **manager** is someone who coordinates and oversees the work of others to achieve organizational goals. Their primary role is to enable employees to perform effectively rather than focus on personal tasks.

Managers may:

- Supervise a team
 - Oversee cross-departmental projects
 - Coordinate with external partners
 - Handle some operational tasks alongside managerial duties
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CLASSIFICATION OF MANAGERS IN ORGANIZATIONS

Organizations, particularly those with traditional structures (pyramidal hierarchy), classify managers into three levels:

1. First-Line Managers:

- Directly supervise non-managerial employees.
- Ensure daily operations run smoothly.
- **Example:** A sales supervisor overseeing customer service representatives.

2. Middle Managers:

- Manage first-line managers and serve as a bridge between top management and operational staff.

- Implement organizational strategies.
 - **Example:** A regional manager overseeing multiple retail store managers.
3. **Top Managers:**
- Set long-term objectives and overall organizational direction.
 - Make high-level decisions on strategy, policies, and business growth.
 - **Example:** A CEO deciding on a company's global expansion strategy.



Skills needed for the levels:



LEVELS OF MANAGEMENT

1. First-Line Managers (Lowest Level of Management)

- Directly oversee nonmanagerial employees.
- Responsible for ensuring that work is done efficiently in production or service delivery.
- Common titles:
 - Supervisors
 - Shift Managers
 - District Managers
 - Department Managers

- **Office Managers**

- **Example:** A shift manager in a retail store ensuring that employees restock shelves and assist customers.

2. Middle Managers

- Manage the work of first-line managers.
- Act as a bridge between top management and lower levels.
- Common titles:
 - **Regional Manager**
 - **Project Leader**
 - **Store Manager**
 - **Division Manager**
- **Example:** Lisa, a restaurant general manager, oversees operations but also reports to corporate headquarters along with other managers.

3. Top Managers (Highest Level of Management)

- Make organization-wide decisions.
- Establish long-term goals and strategies.
- Common titles:
 - **Chief Executive Officer (CEO)**
 - **Chief Operating Officer (COO)**
 - **President**
 - **Managing Director**
 - **Executive Vice President**
- **Example:** A CEO making decisions on expanding the company's operations into new international markets.

Alternative Organizational Structures

While many organizations follow the traditional hierarchical model, others operate in **flexible, team-based structures**. These organizations may not have a fixed pyramid of managers. Instead, teams form dynamically based on project requirements.

- **Key Differences:**

- Employees shift between different teams based on work demands.
- Leadership roles may rotate depending on the project.
- Coordination and oversight still exist but may change with evolving tasks.
- **Example:** A technology company with agile project teams where leadership changes based on expertise required for different projects.

Even in these dynamic organizations, someone must take on **managerial responsibilities** to coordinate efforts, oversee progress, and ensure organizational goals are met, even if their role is temporary or rotational.

WHERE DO MANAGERS WORK?

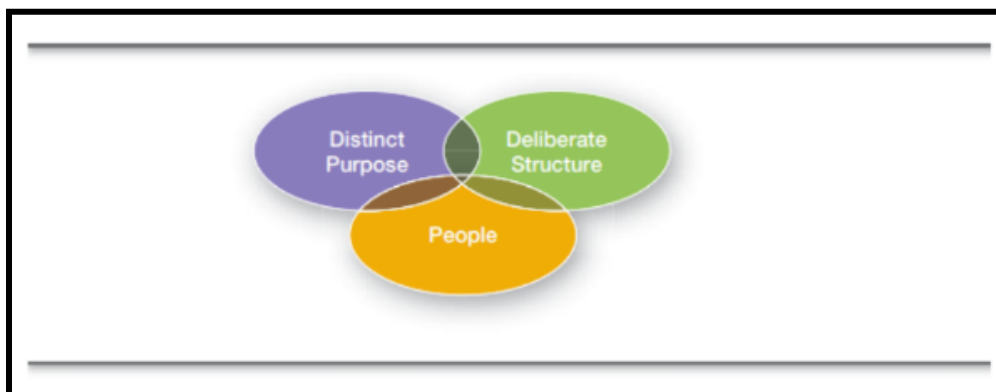
What is an Organization?

Managers work in **organizations**, which are **deliberate arrangements of people** designed to accomplish specific goals. Organizations can take various forms, including:

- **Educational Institutions** (Colleges, Universities)
- **Social Groups** (Fraternities, Sororities)
- **Government Departments**
- **Religious Institutions** (Churches, Mosques, Temples)
- **Corporations & Businesses** (Facebook, Grocery Stores, Mayo Clinic)
- **Sports Teams** (St. Louis Cardinals Baseball Team)
- **Nonprofit Organizations** (United Way)

All organizations share **three common characteristics**:

1. **Distinct Purpose**
 - Organizations exist to achieve specific goals.
 - **Example:** A university aims to provide education and conduct research.
2. **Composed of People**
 - Every organization relies on people to perform tasks and achieve its goals.
 - **Example:** A hospital requires doctors, nurses, and administrative staff to function effectively.
3. **Deliberate Structure**
 - Organizations create a structure to organize work and responsibilities.
 - **Example:** Google uses flexible team-based structures, while Procter & Gamble follows a more traditional hierarchical model.



Types of Organizational Structures

Organizations can have different types of structures based on their work approach:

1. Flexible & Team-Based Structure

- Work is **task-driven**, with small, **fast-forming teams** that dissolve upon completion.
- Employees have **open roles** rather than rigid job descriptions.
- No strict **hierarchy or authority structure**; decision-making is decentralized.
- **Example:**
 - **Google:** Project teams form and dissolve dynamically as needed.
 - **Tech Startups:** Employees wear multiple hats and switch roles as required.

2. Traditional Hierarchical Structure

- Clearly **defined roles and responsibilities**.
- Fixed **rules, regulations, and reporting lines**.
- A clear distinction between **managers and employees**.
- **Example:**
 - **Procter & Gamble, General Electric:** Traditional corporate hierarchies with managers overseeing defined teams.

Changing Nature of Work in Organizations

- Work is increasingly becoming **remote and flexible**.
- Employees no longer have strict **9-to-5 schedules**.
- Collaboration occurs **across time zones** and through **virtual teams**.
- Many modern companies focus on **task completion rather than office hours**.

Example:

- Employees at **Google** or **Facebook** can work from anywhere, anytime, as long as they meet their project deadlines.

WHAT DO MANAGERS DO?

Simply put, **management is what managers do**—but this broad definition requires further exploration. Managers are responsible for **coordinating and overseeing** work activities to ensure they are completed **efficiently and effectively**.

However, managers **do not have unlimited freedom** to do things as they please. Instead, they must ensure that tasks are done correctly **using limited resources** while meeting organizational goals.

Efficiency vs. Effectiveness in Management

Managers must balance **efficiency** (optimal use of resources) and **effectiveness** (goal achievement).

1. Efficiency – "Doing Things Right"

- Focuses on **minimizing waste** and maximizing output.
- Achieved by optimizing the use of **resources (people, money, time, equipment, etc.)**.
- **Example:**
 - At the **HON Company plant** in Cedartown, Georgia, efficiency improvements included:
 - Cutting inventory levels.
 - Reducing manufacturing time.
 - Lowering defect rates.
 - These changes **saved over \$7 million in a year** by reducing costs.

2. Effectiveness – "Doing the Right Things"

- Ensures that tasks contribute to achieving **organizational goals**.
- Involves making strategic decisions to **meet customer expectations and industry standards**.
- **Example:**
 - At **HON Factory**, effectiveness meant:
 - Meeting customers' demands.
 - Implementing world-class manufacturing strategies.
 - Enhancing employee safety and job satisfaction.

Key Difference:

- **Efficiency = Means (how well resources are used).**
- **Effectiveness = Ends (whether goals are achieved).**
- **Ideal Management = High Efficiency + High Effectiveness.**

Poor management can result in:

1. **Low efficiency & low effectiveness** (resources wasted, goals not achieved).
2. **High efficiency but low effectiveness** (tasks done well but irrelevant to goals).
3. **High effectiveness but low efficiency** (goals achieved but at a high cost).



Three Approaches to Defining What Managers Do

Because managers operate in different industries, **no two managerial jobs are identical**. However, researchers categorize managerial work into three key approaches:

1. **Functions Approach** – Managers engage in specific activities to run an organization.
2. **Roles Approach** – Managers perform various interpersonal, informational, and decision-making roles.
3. **Skills Approach** – Managers need certain skills to lead effectively, including technical, human, and conceptual skills.

Each of these approaches provides a different perspective on **the responsibilities and tasks** managers handle in their roles.

MANAGEMENT FUNCTIONS- POSDCORB

The term **POSDCORB** was introduced by **Luther Gulick and Lyndall Urwick in 1937** as a framework for the essential functions of management. It helps managers **systematically organize their tasks** and ensure smooth operations in any organization.

POSDCORB is an acronym for the **seven key managerial functions**, which include:

1. **Planning**
2. **Organizing**
3. **Staffing**
4. **Directing**
5. **Coordinating**
6. **Reporting**
7. **Budgeting**

1. Planning – Setting the Foundation for Success

Definition: Planning involves deciding **what to do, how to do it, when to do it, and who will do it**. It sets **goals and strategies** for the organization.

Key Features:

- Establishing **objectives** and long-term goals.
- **Forecasting** future challenges and opportunities.
- Developing **strategies** and **action plans** to achieve goals.

Example: A manager plans a new **marketing campaign** for a product launch, deciding on advertisements, target customers, and promotional offers.

2. Organizing – Creating a Structure for Efficiency

Definition: Organizing is about **arranging resources, assigning tasks, and defining roles** to execute the plan smoothly.

Key Features:

- Designing an **organizational structure**.
- **Grouping tasks** into departments (e.g., sales, HR, production).
- Delegating **authority and responsibilities**.

Example: A company launching a new mobile app sets up a **project team** with defined roles, such as developers, designers, and marketing specialists.

3. Staffing – Hiring and Developing the Right People

Definition: Staffing involves **recruiting, training, and retaining** skilled employees to meet organizational objectives.

Key Features:

- **Recruitment and selection** of the right talent.
- Providing **training and development** programs.
- **Motivating employees** through incentives and career growth opportunities.

Example: A retail company conducts interviews and **hires new employees** for an expanding sales team, ensuring they receive proper training.

4. Directing – Leading and Motivating Employees

Definition: Directing is about **guiding, supervising, and motivating** employees to perform efficiently. It focuses on **human interaction and communication**.

Key Features:

- Providing **clear instructions** and leadership.
- **Motivating employees** through rewards and incentives.
- Maintaining **discipline and conflict resolution**.

Example: A manager **motivates their team** by recognizing top-performing employees in a monthly meeting and offering performance bonuses.

5. Coordinating – Ensuring Teamwork and Collaboration

Definition: Coordination ensures that different departments and teams **work together** without duplication or conflicts.

Key Features:

- **Aligning efforts** of different teams with company goals.
- **Ensuring smooth communication** between departments.
- **Harmonizing workflows** to avoid inefficiencies.

Example: The **production team and logistics team** collaborate to ensure products are manufactured on time and delivered efficiently to customers.

6. Reporting – Keeping Everyone Informed

Definition: Reporting involves **collecting, analyzing, and sharing information** to track performance and progress.

Key Features:

- Creating **performance reports** for internal and external use.
- Providing **transparency and accountability**.
- Communicating **key performance indicators (KPIs)** to management.

Example: A sales manager prepares a **quarterly report** showing revenue growth and presents it to the company's board of directors.

7. Budgeting – Managing Financial Resources

Definition: Budgeting refers to **planning, allocating, and controlling financial resources** to ensure financial stability.

Key Features:

- **Estimating expenses and revenue** for different projects.
- Allocating **funds** to various departments.
- Monitoring **financial performance** and adjusting budgets as needed.

Example: A marketing department prepares an **annual budget** covering costs for advertisements, social media campaigns, and events.

Why is POSDCORB Important?

1. It **provides a structured way** for managers to perform their duties efficiently.
2. It **ensures all aspects of management** (people, resources, goals, and finances) are covered.
3. It helps organizations achieve their goals **effectively and efficiently**.
4. POSDCORB is a **practical and widely used framework** for management. Whether in **businesses, government agencies, hospitals, or schools**, managers use these seven functions to **ensure smooth operations and success**.

5. By understanding and applying **POSDCORB**, managers can **plan better, organize effectively, build strong teams, motivate employees, coordinate work, track progress, and manage finances efficiently**.
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MINTZBERG'S MANAGERIAL ROLES & CONTEMPORARY MODEL OF MANAGING

Henry Mintzberg, a renowned management researcher, studied **what managers actually do** in the workplace. His research led to the development of a framework known as **Mintzberg's Managerial Roles**, which describes the **10 key roles managers play** in organizations. These roles are categorized into **three groups**:

1. **Interpersonal Roles** – Involving **people and relationships**.
2. **Informational Roles** – Involving **processing and sharing information**.
3. **Decisional Roles** – Involving **decision-making and problem-solving**.

1. Interpersonal Roles (Managing People and Relationships)

These roles involve **interaction with employees, stakeholders, and external parties**.

a) Figurehead

- Represents the organization in **formal and symbolic** capacities.
- Attends **ceremonial events, official functions, and signings**.
- **Example:** A CEO cutting the ribbon at a company's new office opening.

b) Leader

- Motivates, guides, and **influences employees** to work towards goals.
- Ensures **team morale and productivity**.
- **Example:** A manager conducting **employee performance reviews** to encourage growth.

c) Liaison

- Acts as a **bridge between internal and external stakeholders**.
- Maintains relationships **within and outside** the organization.
- **Example:** A manager **networking with industry leaders** to form strategic partnerships.

2. Informational Roles (Managing Information Flow)

These roles focus on **gathering, processing, and sharing** crucial information.

a) Monitor

- Actively **seeks and collects information** about industry trends, competitors, and employees.
- **Example:** A manager **reviewing market reports** to stay updated on trends.

b) Disseminator

- **Shares relevant information** with employees and teams.
- **Example:** A manager **explaining company policy changes** to staff members.

c) Spokesperson

- Represents the organization's views to **external audiences**.
- **Example:** A manager **speaking at a press conference** about a new product launch.

3. Decisional Roles (Making Key Business Decisions)

These roles involve **decision-making and problem-solving** for the organization.

a) Entrepreneur

- Initiates **new ideas, innovations, and improvements**.
- **Example:** A manager **introducing AI automation** to improve efficiency.

b) Disturbance Handler

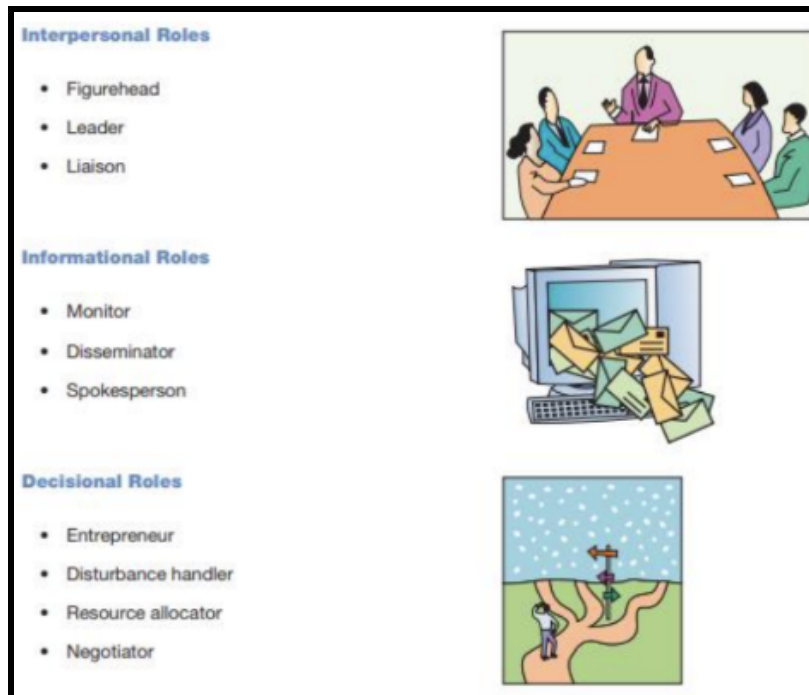
- Addresses **conflicts, crises, and unexpected challenges**.
- **Example:** A manager **resolving an employee dispute** to maintain a positive work environment.

c) Resource Allocator

- Distributes resources **effectively and efficiently**.
- **Example:** A manager **assigning budgets and workforce** to different departments.

d) Negotiator

- **Represents the organization** in contracts, agreements, and disputes.
- **Example:** A manager **negotiating a deal with suppliers** to reduce costs.



Mintzberg also highlighted that managers engage in both **reflection (thinking)** and **action (doing)**.

- **Reflection (Thinking):** Managers analyze problems, plan strategies, and anticipate future challenges.
- **Action (Doing):** Managers implement decisions, handle crises, and interact with employees.

Example: A restaurant manager listens to customer complaints (**reflection**) and then takes action to resolve them (**doing**).

MANAGEMENT SKILLS (ROBERT L. KATZ'S)

To be effective, managers must develop **three core skills** identified by **Robert L. Katz**:

1. Technical Skills (Job-Specific Knowledge & Expertise)

- Ability to **perform specific tasks** related to the job.
- Essential for **first-line managers** who supervise employees working directly with tools and processes.
- **Example:** A software development manager with **coding expertise** to oversee programming tasks.

2. Human Skills (Interpersonal & Communication Abilities)

- The ability to **work well with individuals and teams**.
- Important for **all levels of management**.
- **Example:** A manager **motivating employees, resolving conflicts, and leading teams**.

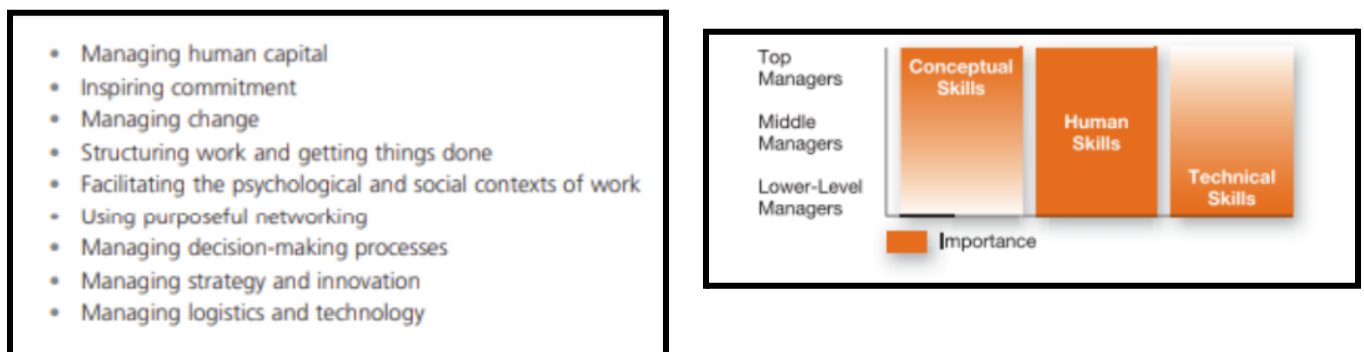
3. Conceptual Skills (Strategic Thinking & Decision-Making Abilities)

- The ability to **see the big picture** and make strategic decisions.
- Most important for **top managers** who oversee the organization's future direction.
- **Example:** A CEO **analyzing global market trends** to determine expansion strategies.

The Importance of Developing Management Skills

In today's rapidly evolving business environment, **continuous skill development** is essential. Companies like **Dell Inc.** invest in **intensive management training programs** to improve leadership and employee engagement.

- **Example:** Dell introduced a **five-day training program** to help first-line managers improve communication and problem-solving skills.



HOW IS THE MANAGER'S JOB CHANGING?

The **role of managers** is constantly evolving due to changes in **global markets, workplace expectations, ethical concerns, security threats, and technology advancements**. Today's managers must adapt to new challenges and opportunities to **keep organizations efficient and competitive**.

For example, at **Best Buy**, more than **60% of employees** are now **judged based on results rather than working hours**. This shift has led to:

- **Better work-life balance** for employees.
- **Increased productivity (by 35%)**.
- Employees becoming **more efficient and innovative**.

Similarly, during an economic crisis, **Headwaters MB**, an investment bank, **restructured its operations** by reducing fixed costs and shifting to a **flexible, independent business model**, ensuring sustainability.

These examples highlight how **managers today must navigate economic and organizational challenges creatively**.

Key Factors Changing the Manager's Role

While there are many shifts in **modern management**, three critical factors are reshaping the manager's job:

1. **The Increasing Importance of Customers**
2. **The Need for Continuous Innovation**
3. **The Focus on Sustainability**

1. The Importance of Customers in Management

John Chambers, CEO of **Cisco Systems**, emphasizes **listening to customer complaints** to understand their frustrations and emotions. This highlights that **customers are no longer just a marketing concern—they are central to management**.

Previously, companies thought that **customer satisfaction** was the responsibility of **marketing and sales teams**. However, studies show that:

- **Employee behavior and attitude** significantly impact customer satisfaction.
- **Customer experiences** depend on prompt service, helpful employees, and problem resolution.

Example: Passengers of **Qantas Airways** rated their "**essential needs**" in air travel, and nearly **every factor** was influenced by airline employees, such as:

- **Efficient baggage handling.**
- **Courteous and helpful flight attendants.**
- **Assistance with flight connections.**

What This Means for Managers:

- Managers must **train and motivate employees** to deliver excellent service.
- A **customer-focused culture** should be encouraged across all departments.
- Employee engagement is **directly linked to customer satisfaction and loyalty**.

2. The Need for Continuous Innovation

Innovation is no longer **optional**—it is **necessary** for businesses to stay competitive. Managers must:

- **Encourage creativity** among employees.
- **Adopt new technologies** to streamline operations.

- **Continuously improve products and services** to meet evolving consumer demands.

Example: Apple's success is built on **continuous innovation**, with managers fostering a **culture of creativity and forward-thinking**.

What This Means for Managers:

- Managers must **create an environment that encourages innovation**.
- Companies should **invest in R&D (research and development)**.
- Employees should be **rewarded for new ideas and improvements**.

3. The Focus on Sustainability

Sustainability is becoming a **major priority** for organizations due to:

- **Environmental concerns** (climate change, carbon footprint reduction).
- **Corporate social responsibility (CSR)** requirements.
- **Consumer demand** for eco-friendly products and services.

Example: Companies like **Tesla and Patagonia** have built their business models around **sustainability**, ensuring long-term growth while protecting the environment.

What This Means for Managers:

- Managers must ensure their companies follow **sustainable practices**.
- Business decisions should consider **long-term environmental and social impact**.
- Organizations that **prioritize sustainability** attract **loyal customers and investors**.

WHY STUDY MANAGEMENT?

Many students wonder:

"Why should I study management if I plan to work in a different field (e.g., accounting, marketing, engineering)?"



The answer lies in **three key reasons**:

1. Management is Universal

- Every industry and organization **needs good management** to succeed.
- Well-managed businesses **prosper even in difficult times**, while poorly managed ones **lose customers and struggle**.
- **Example:** Efficient government offices process licenses quickly, while poorly managed ones create delays and frustration.

2. The Reality of Work

- Whether you **own a business, work as an employee, or lead a team**, you will **deal with management principles daily**.
- Understanding management **helps you recognize good and bad workplace practices**.
- **Example:** Recognizing ineffective leadership in a workplace allows you to **suggest improvements or seek better opportunities**.

3. The Rewards and Challenges of Being a Manager

- **Rewards:**
 - Managers influence **organizational success and employee growth**.
 - They **develop leadership skills** that enhance career prospects.
 - They **gain a sense of achievement** by leading teams and making strategic decisions.
- **Challenges:**
 - Managers face **complex decisions and unexpected challenges**.
 - They must **balance employee satisfaction with business objectives**.
 - They need to **continuously adapt to changing business environments**.

Example: A retail manager must handle **staff scheduling, customer service, inventory control, and sales targets—all at the same time**.

Rewards and Challenges of Being a Manager

EXHIBIT 1-10

Rewards and Challenges of Being a Manager

Rewards

- Create a work environment in which organizational members can work to the best of their ability
- Have opportunities to think creatively and use imagination
- Help others find meaning and fulfillment in work
- Support, coach, and nurture others
- Work with a variety of people
- Receive recognition and status in organization and community
- Play a role in influencing organizational outcomes
- Receive appropriate compensation in the form of salaries, bonuses, and stock options
- Good managers are needed by organizations

Challenges

- Do hard work
- May have duties that are more clerical than managerial
- Have to deal with a variety of personalities
- Often have to make do with limited resources
- Motivate workers in chaotic and uncertain situations
- Blend knowledge, skills, ambitions, and experiences of a diverse work group
- Success depends on others' work performance

EARLY MANAGEMENT: THE ORIGINS OF ORGANIZED LEADERSHIP

Management has been practiced **for thousands of years**, long before formal theories were developed. Large-scale projects in **ancient civilizations** required managers to oversee workers, plan activities, and ensure smooth operations.

Historical Examples of Early Management

1. Ancient Egypt and the Great Wall of China

- The **Egyptian pyramids** and the **Great Wall of China** are prime examples of early management.
- The **construction of a single pyramid** required:
 - **100,000 workers** over **20 years**.
 - Careful **planning, resource allocation, and supervision**.
 - Coordination of **workers, materials, and logistics**.
- **Managers ensured** that workers were assigned tasks, had necessary materials, and completed work efficiently.

2. The City of Venice (1400s) – A Trade and Business Hub

- Venice was a **major center for commerce and trade**.
- The Venetians developed **early business practices** that resemble modern management:
 - **Warehouse and inventory systems** to track materials.
 - **Human resource management** (including worker breaks, such as wine breaks!).
 - **An accounting system** to manage revenues and expenses.

- A **shipbuilding assembly line**, where warships were **built step by step** along a canal—similar to a modern **automobile assembly line**.

The Influence of Adam Smith (1776) – Division of Labor

Adam Smith, a Scottish economist, published **The Wealth of Nations**, which introduced the concept of **job specialization (division of labor)**.

Key Ideas from Adam Smith:

- **Breaking down jobs into smaller, specialized tasks** increases productivity.
- **Example:**
 - In the **pin-making industry**, 10 specialized workers could produce **48,000 pins per day**.
 - If each worker did every task alone, they might **only produce 10 pins per day!**
- **Benefits of Job Specialization:**
 - Increases **worker skill and efficiency**.
 - Reduces **time lost in switching tasks**.
 - Encourages **innovation and labor-saving machines**.
- **Modern Examples:**
 - **Hospital surgery teams** (surgeons, nurses, anesthetists each have specialized roles).
 - **Restaurant kitchens** (chefs, sous chefs, line cooks, and servers have specific tasks).
 - **Football teams** (players are assigned different positions based on their strengths).

The Industrial Revolution and the Rise of Factory Management

The **Industrial Revolution (late 18th century)** marked a shift from **handmade goods** to **mass production in factories**.

Impact on Management:

- Machines replaced manual labor, increasing efficiency.
- Large factories needed **managers** to:
 - **Forecast demand** and plan production.
 - **Ensure raw materials** were available.
 - **Assign tasks** to workers.
 - **Direct daily operations** and **improve productivity**.

As factories grew in size, managers **needed formal theories** to help them **manage large organizations effectively**. This led to the **development of modern management theories** in the early 1900s.

THE FOUR MAJOR APPROACHES TO MANAGEMENT THEORY

Over time, researchers have tried to **explain management scientifically**. There are **four main approaches**:

1. Classical Approach

- Focused on **efficiency, structure, and productivity**.
- Advocated for **clear hierarchies, formal rules, and task specialization**.

2. Behavioral Approach

- Emphasized **the human side of management**.
- Studied **motivation, leadership, and teamwork** to improve worker productivity.

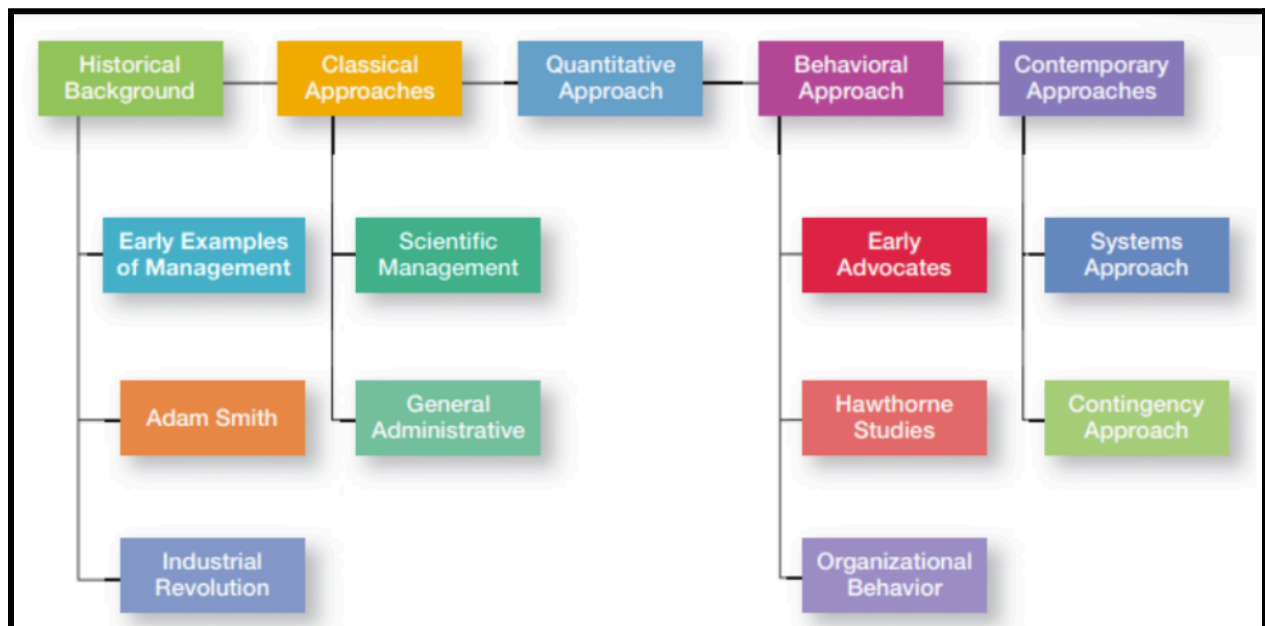
3. Quantitative Approach

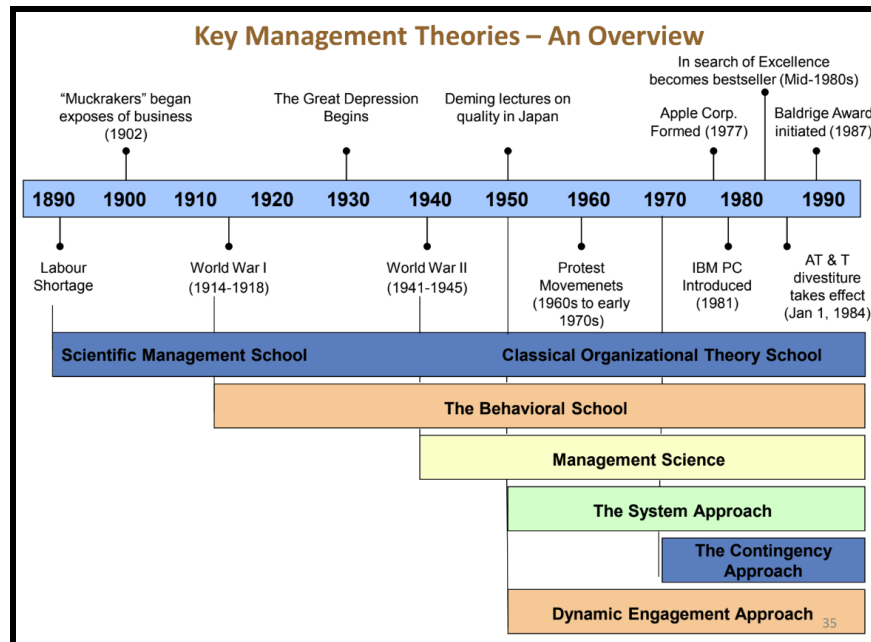
- Used **mathematical and statistical methods** to solve management problems.
- Common in industries like **finance, logistics, and operations research**.

4. Contemporary Approach

- A mix of **traditional and modern theories**.
- Emphasizes **flexibility, innovation, customer focus, and sustainability**.

Each of these **approaches contributed valuable insights** to the field of management but also has its **limitations**.





CLASSICAL APPROACH

The **Classical Approach** to management emerged in the early **20th century** and emphasized **efficiency, rational decision-making, and structured management practices**. This approach aimed to make organizations and workers **as productive as possible** through **scientific methods and structured principles**.

The **Classical Approach** is divided into two **major theories**:

1. **Scientific Management** – Focused on increasing worker efficiency.
2. **General Administrative Theory** – Focused on overall organizational management.

1. Scientific Management (Frederick W. Taylor, Frank & Lillian Gilbreth)

Scientific management aimed to **identify the "one best way"** to perform tasks through **scientific methods**.

Frederick W. Taylor – "Father of Scientific Management"

Taylor's **Principles of Scientific Management (1911)** introduced a systematic approach to improving productivity by applying scientific analysis to jobs.

Key Contributions of Taylor:

- Studied **inefficiencies in worker performance** and aimed to **standardize tasks**.
- Believed workers often **wasted time and energy due to lack of proper methods**.
- Developed **four principles of scientific management** (see Exhibit MH-2).

Taylor's "Pig Iron Experiment"

- Workers at **Bethlehem Steel Company** loaded 92-pound pig iron onto rail cars.
- Average daily output: **12.5 tons per worker**.
- Taylor **scientifically studied the job** and redesigned methods to increase output to **47–48 tons per worker per day**.
- Key improvements:
 - **Assigned the right worker to the job** (based on ability).
 - **Provided the correct tools and methods**.
 - **Motivated workers with financial incentives**.

Result: Productivity **increased by over 200%**, proving that **scientific analysis improves efficiency**.

EXHIBIT MH-2 Taylor's Scientific Management Principles	1. Develop a science for each element of an individual's work to replace the old rule-of-thumb method. 2. Scientifically select and then train, teach, and develop the worker. 3. Heartily cooperate with the workers so as to ensure that all work is done in accordance with the principles of the science that has been developed. 4. Divide work and responsibility almost equally between management and workers. Management does all work for which it is better suited than the workers.
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Frank and Lillian Gilbreth – Motion Studies

- Frank Gilbreth, a **construction contractor**, left his career to study **scientific management**.
- Lillian Gilbreth, a **psychologist**, contributed by studying **worker psychology and fatigue**.
- Together, they worked on **eliminating unnecessary hand and body motions** to improve efficiency.

Key Contributions of the Gilbreths:

- **Bricklaying Experiment:**
 - Analyzed bricklayers' motions and reduced **exterior brick-laying motions from 18 to 5** and **interior brick-laying from 18 to 2**.
 - Workers were **less fatigued** and **more productive**.
- **Therbligs:**
 - The Gilbreths invented a **classification system for 17 basic hand movements**, known as **"Therbligs"** (an anagram of their name).
 - Used **microchronometers** to study motions and eliminate waste.

Impact on Modern Management:

- Today's managers **still use scientific management principles**:

- **Time-and-motion studies** to optimize work processes.
- **Hiring the best-qualified workers** for specific jobs.
- **Designing incentive systems** to motivate employees.

2. General Administrative Theory (Henri Fayol & Max Weber)

Unlike **scientific management**, which focused on **worker efficiency**, the **general administrative theory** focused on the **entire organization and managerial functions**.

Henri Fayol – The Functional Approach to Management

Henri Fayol believed that **management is a universal function** applicable to all businesses, government agencies, and even homes.

Key Contributions of Fayol:

- Defined **five core management functions**:
 1. **Planning** – Setting goals and strategies.
 2. **Organizing** – Allocating resources and structuring work.
 3. **Commanding** – Directing employees effectively.
 4. **Coordinating** – Ensuring harmony among different departments.
 5. **Controlling** – Monitoring and correcting performance.
- Developed **14 Principles of Management**, which shaped modern business practices.
- His ideas **led to the structured role of managers** in organizations.

Impact on Modern Management:

- Many of Fayol's principles still exist today, including:
 - **Hierarchy and chain of command.**
 - **Managerial authority and decision-making structures.**
 - **structures and job roles.**

1. **Division of Work.** Specialization increases output by making employees more efficient.
2. **Authority.** Managers must be able to give orders, and authority gives them this right.
3. **Discipline.** Employees must obey and respect the rules that govern the organization.
4. **Unity of command.** Every employee should receive orders from only one superior.
5. **Unity of direction.** The organization should have a single plan of action to guide managers and workers.
6. **Subordination of individual interests to the general interest.** The interests of any one employee or group of employees should not take precedence over the interests of the organization as a whole.
7. **Remuneration.** Workers must be paid a fair wage for their services.
8. **Centralization.** This term refers to the degree to which subordinates are involved in decision making.
9. **Scalar chain.** The line of authority from top management to the lowest ranks is the scalar chain.
10. **Order.** People and materials should be in the right place at the right time.
11. **Equity.** Managers should be kind and fair to their subordinates.
12. **Stability of tenure of personnel.** Management should provide orderly personnel planning and ensure that replacements are available to fill vacancies.
13. **Initiative.** Employees who are allowed to originate and carry out plans will exert high levels of effort.
14. **Esprit de corps.** Promoting team spirit will build harmony and unity within the organization.

EXHIBIT MH-3

Fayol's 14 Principles of Management

Max Weber – Bureaucratic Management

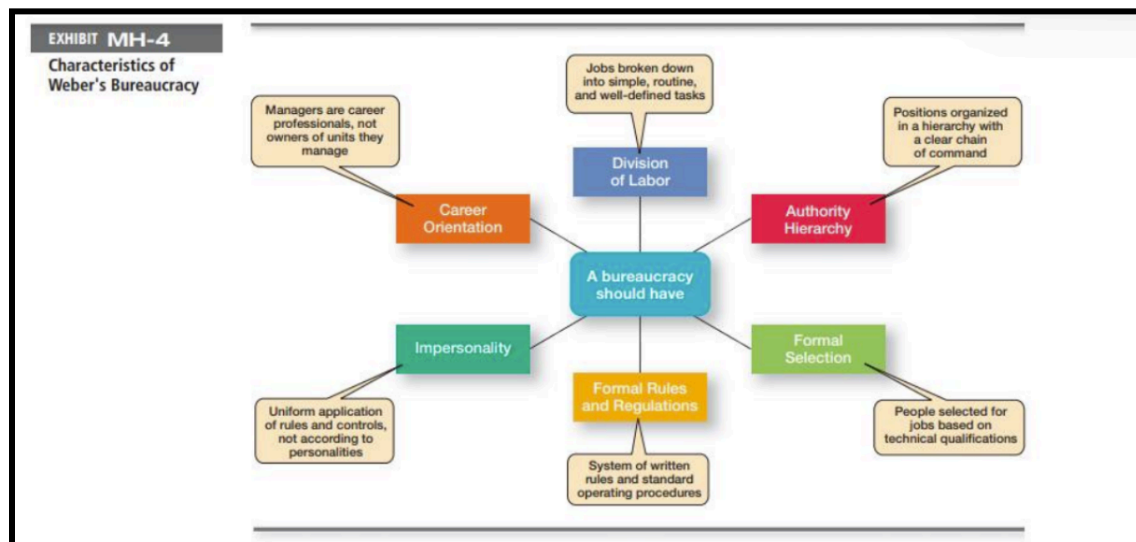
Max Weber, a German sociologist, introduced the concept of **bureaucracy** as the **ideal organizational structure**.

Key Features of Bureaucracy (Exhibit MH-4):

1. **Division of Labor** – Jobs are divided into specialized roles.
2. **Hierarchy of Authority** – A clear chain of command.
3. **Formal Rules and Regulations** – Guidelines to maintain consistency.
4. **Impersonality** – Decisions based on logic, not personal relationships.
5. **Merit-Based Hiring** – Employees chosen based on competence, not favoritism.

Impact on Modern Management:

- Weber's bureaucratic model **influenced large organizations** such as:
 - **Government agencies** (strict hierarchies and policies).
 - **Corporations** (structured roles and standard operating procedures).
 - **Multinational companies** (formalized reporting structures).
- However, in today's dynamic business world, **excessive bureaucracy** can **hinder creativity and slow decision-making**.



How Today's Managers Use the Classical Approach

The **principles of scientific management and administrative theory** still shape modern organizations.

Examples of Scientific Management in Today's Businesses:

- Amazon's warehouse operations use **time-motion studies** and **optimized workflows** to improve efficiency.

- **McDonald's kitchen operations** follow **standardized procedures** to ensure speed and consistency.
- **Automobile assembly lines** still rely on **scientific management principles** to maximize productivity.

Examples of Administrative Theory in Today's Businesses:

- **Hierarchy in corporations** (CEO → Executives → Managers → Employees) is based on **Fayol's principles**.
 - **Government agencies and multinational corporations** follow **bureaucratic structures** similar to **Weber's model**.
-

BEHAVIORAL APPROACH

The **Behavioral Approach** to management focuses on **understanding human behavior** within organizations. Unlike earlier management theories that emphasized **efficiency and structure**, the behavioral approach recognizes that **people are the most valuable asset** in an organization.

This approach is the foundation of **Organizational Behavior (OB)**, a field that studies how people act at work, including:

- ✓ **Motivation**
- ✓ **Leadership**
- ✓ **Teamwork**
- ✓ **Building trust**
- ✓ **Managing conflict**

Early Advocates of the Behavioral Approach

Several early management thinkers **recognized the importance of human behavior** in organizations. Four key contributors to this approach were:

1. Robert Owen (1771–1858) – The Humanitarian Manager

- Recognized that **workers' well-being** affects productivity.
- **Advocated for better working conditions** (e.g., shorter work hours, better wages).
- Believed that **investing in employees** would benefit both workers and businesses.

Example: He improved **factory conditions** and introduced **education programs** for workers' children.

2. Hugo Munsterberg (1863–1916) – The Father of Industrial Psychology

- Applied **psychology** to the workplace.
- Studied **how to select the right employees** for jobs.

- Developed **training and motivational techniques** for improving worker efficiency.

Example: Modern **psychological testing in recruitment** follows his principles.

3. Mary Parker Follett (1868–1933) – The Advocate for Collaboration

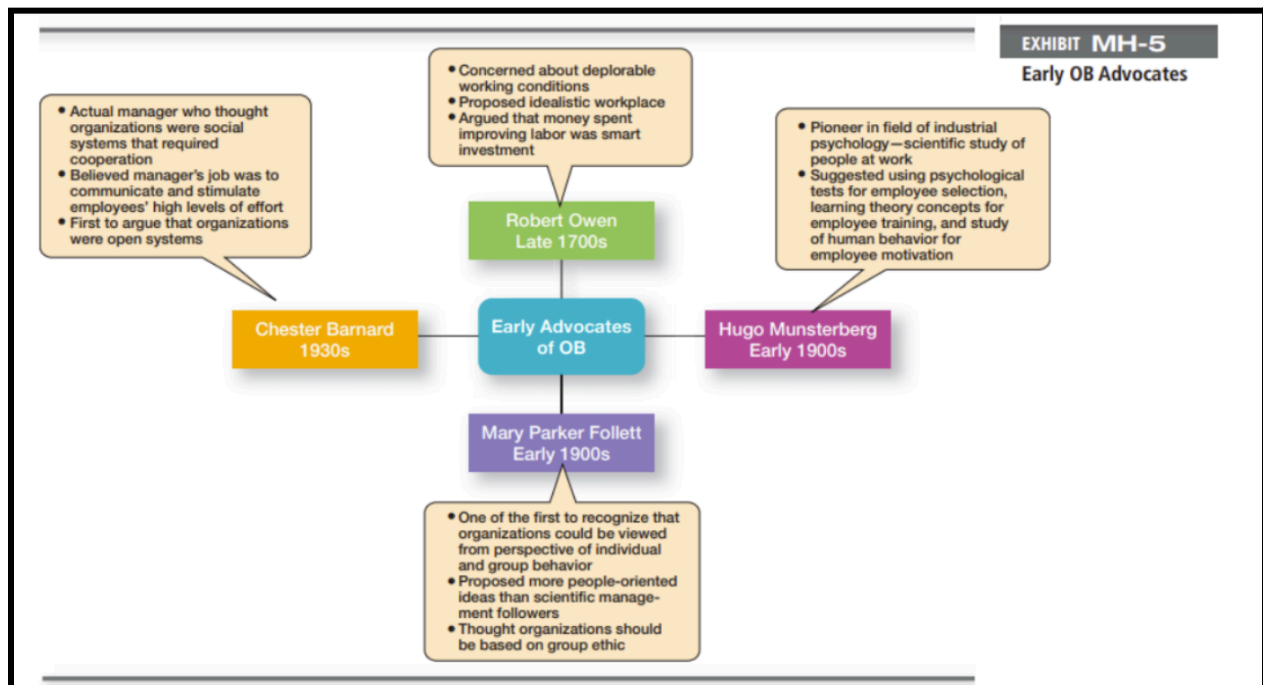
- Emphasized **group dynamics and teamwork**.
- Believed that **managers and employees should work as partners**, not just leaders and subordinates.
- Introduced concepts of **conflict resolution and participatory decision-making**.

Example: Her ideas influenced **modern team-based organizations** and **collaborative leadership styles**.

4. Chester Barnard (1886–1961) – The Importance of Communication

- Emphasized **communication** in organizations.
- Defined an organization as **a system of cooperative efforts**.
- Believed that **managers should encourage employee participation and motivation**.

Example: His work influenced **modern leadership communication strategies**.



The Hawthorne Studies (1924–1932) – A Turning Point in Management

A key development in the **behavioral approach** came from the **Hawthorne Studies**, conducted at Western Electric's Hawthorne plant in Illinois.

1. The Lighting Experiment

- Engineers initially **tested how lighting levels affected worker productivity**.
- **Surprising Result:** Productivity **increased** in both the **experimental and control groups**, regardless of lighting changes.
- **Conclusion:** The improvement was **not due to lighting** but **to workers feeling observed and valued**.

2. The Role of Social Factors in Productivity

Harvard professor **Elton Mayo** and his research team **expanded the study** to examine other workplace conditions:

- **Workday length**
- **Rest periods**
- **Wage incentives**

Findings:

- ✓ Group **pressure and acceptance** influenced worker behavior more than pay.
- ✓ Employees worked **harder when they felt valued and included**.
- ✓ **Social interactions and group norms shaped productivity**.

These studies **shifted management's focus** from treating workers as **machines** to recognizing **their social and psychological needs**.

Impact: The Hawthorne Studies **revolutionized** management by emphasizing:

- ✓ **Workplace relationships**
- ✓ **Employee morale and motivation**
- ✓ **Group dynamics in decision-making**

How Today's Managers Use the Behavioral Approach

Many **modern management practices** are based on the behavioral approach, including:

- ✓ **Job Design:** Managers create **engaging and meaningful roles** to keep employees motivated.
- ✓ **Teamwork & Collaboration:** Workplaces use **team structures** rather than strict hierarchies.
- ✓ **Employee Motivation Strategies:** Companies offer **recognition programs, flexible work options, and incentives**.
- ✓ **Leadership Development:** Managers are trained in **emotional intelligence, communication, and conflict resolution**.
- ✓ **Workplace Culture:** Organizations prioritize **work-life balance, diversity, and employee engagement**.

Example:

- **Google and Microsoft** encourage innovation by creating **open work environments** and **flexible policies** that foster collaboration.
 - **Southwest Airlines** promotes a **fun and inclusive work culture** to boost employee morale and customer service.
-

QUANTITATIVE APPROACH

The **Quantitative Approach**, also known as **Management Science**, applies **mathematical, statistical, and computational techniques** to managerial decision-making. This approach helps managers solve complex problems, improve efficiency, and make data-driven decisions.

Origins of the Quantitative Approach

The **Quantitative Approach** emerged during **World War II**, when **military strategists** used **mathematical models** to solve logistical and operational problems.

After the war, these techniques were **adopted by businesses**.

- A group of military officers, known as the **Whiz Kids**, joined **Ford Motor Company** in the 1940s and used statistical models to improve business decisions.
- Today, companies **use advanced analytics, computer simulations, and optimization models** to improve operations.

Key Applications of the Quantitative Approach

The **Quantitative Approach** is used in various business activities, including:

1. Decision Making Through Mathematical Models

Managers use **quantitative techniques** to improve efficiency in different areas:

- **Linear Programming:** Optimizes resource allocation.
 - **Example:** A manufacturing company **determines the best mix of products** to maximize profit.
- **Critical Path Method (CPM):** Helps in **scheduling tasks efficiently**.
 - **Example:** A construction firm **uses CPM to manage large building projects**.
- **Economic Order Quantity (EOQ):** Helps in **inventory management**.
 - **Example:** Retailers **calculate the ideal amount of stock** to avoid shortages or excess inventory.

2. Total Quality Management (TQM) – Continuous Improvement

In the **1980s and 1990s**, a **quality revolution** reshaped businesses.

- Inspired by **W. Edwards Deming** and **Joseph M. Juran**, organizations **focused on quality improvement** to compete in global markets.
- Japanese companies were the first to **adopt TQM principles**, leading to their dominance in manufacturing quality.

Key Principles of Total Quality Management (TQM):

- ✓ **Customer-Centric Focus** – Quality is driven by customer needs.
- ✓ **Continuous Improvement** – Organizations must keep refining processes.
- ✓ **Statistical Quality Control** – Performance is measured using data and benchmarks.
- ✓ **Employee Involvement** – All employees contribute to quality improvement.

Example:

- **Toyota** adopted **TQM principles**, focusing on **zero defects and continuous process improvements**, helping it become a global leader in automotive manufacturing.

3. Queue Management – Reducing Wait Times

The **science of managing customer queues** helps businesses improve **customer experience and efficiency**.

Example: Whole Foods' Checkout System

- Whole Foods **redesigned its checkout lines in Manhattan** using a **single serpentine line feeding multiple cash registers**.
- **Result:** Shorter wait times, increased customer satisfaction, and higher sales.

Other businesses using **queue management systems**:

- **Airports:** Optimize security lines and boarding processes.
- **Theme Parks (e.g., Disney):** Use virtual queues to reduce wait times.
- **Banks:** Implement queue number systems to manage customers efficiently.

How Today's Managers Use the Quantitative Approach

The **Quantitative Approach** directly impacts **planning, control, and decision-making** in modern businesses.

1. Budgeting & Financial Planning

- **Managers use financial models** to predict sales, costs, and profitability.
- **Example:** A corporate finance team uses **forecasting software** to project annual revenues.

2. Scheduling & Logistics Optimization

- **Companies use algorithms** to schedule production, delivery, and staffing.
- **Example:** Airlines optimize flight schedules to **minimize delays and maximize efficiency**.

3. Supply Chain & Inventory Management

- **Predictive analytics** helps **retailers optimize stock levels**.
- **Example:** Amazon uses **AI-driven inventory management** to ensure products are always available.

4. Risk Analysis & Decision Making

- **Managers use data models** to evaluate risks before making decisions.
- **Example:** Banks use **credit risk analysis models** before approving loans.

EXHIBIT MH-6
What Is Quality Management?

1. **Intense focus on the customer.** The customer includes outsiders who buy the organization's products or services and internal customers who interact with and serve others in the organization.
2. **Concern for continual improvement.** Quality management is a commitment to never being satisfied. "Very good" is not good enough. Quality can always be improved.
3. **Process focused.** Quality management focuses on work processes as the quality of goods and services is continually improved.
4. **Improvement in the quality of everything the organization does.** This relates to the final product, how the organization handles deliveries, how rapidly it responds to complaints, how politely the phones are answered, and the like.
5. **Accurate measurement.** Quality management uses statistical techniques to measure every critical variable in the organization's operations. These are compared against standards to identify problems, trace them to their roots, and eliminate their causes.
6. **Empowerment of employees.** Quality management involves the people on the line in the improvement process. Teams are widely used in quality management programs as empowerment vehicles for finding and solving problems.

CONTEMPORARY APPROACH

The **Contemporary Approaches** to management emerged in the **1960s**, shifting focus from **internal operations** to **external influences**. Unlike earlier theories that treated organizations as isolated systems, contemporary approaches recognize that organizations are **complex, interconnected, and influenced by external environments**.

The two primary contemporary management perspectives are:

1. **Systems Approach** – Viewing organizations as interdependent systems.
2. **Contingency Approach** – Recognizing that **"one size does not fit all"** in management.

1. Systems Approach – Organizations as Interdependent Systems

A **system** is a set of **interrelated and interdependent** parts that function together to achieve a common goal.

Types of Systems:

- **Closed Systems** – Do not interact with their environment (e.g., a self-sustaining lab experiment).
- **Open Systems** – Interact with their environment (e.g., businesses, hospitals, schools).

Organizations as Open Systems

Modern businesses function as **open systems**, meaning they:

- **Take inputs** from the environment (resources, materials, labor).
- **Transform inputs** into products or services.
- **Distribute outputs** to customers and stakeholders.

Example:

A Starbucks shift manager must:

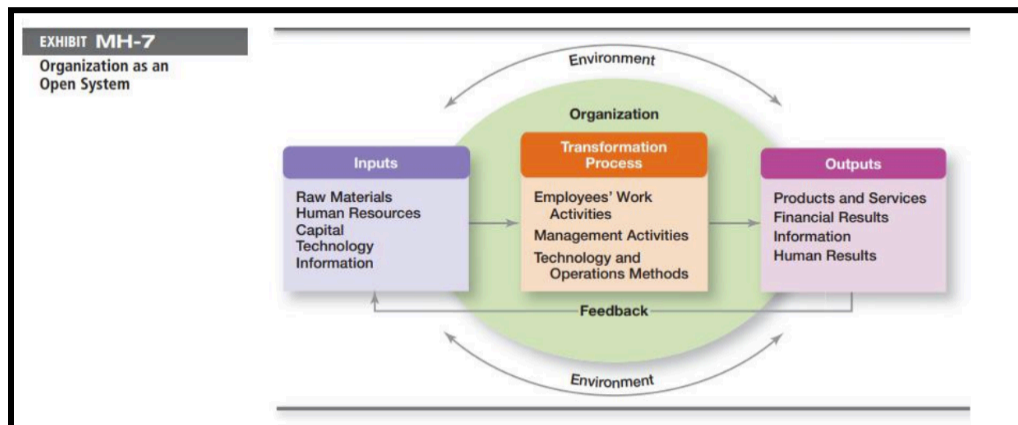
- Coordinate **employee tasks** at the counter and drive-through.
- Ensure **timely supply deliveries**.
- Address **customer concerns**.
- Work with **external suppliers and regulatory bodies**.

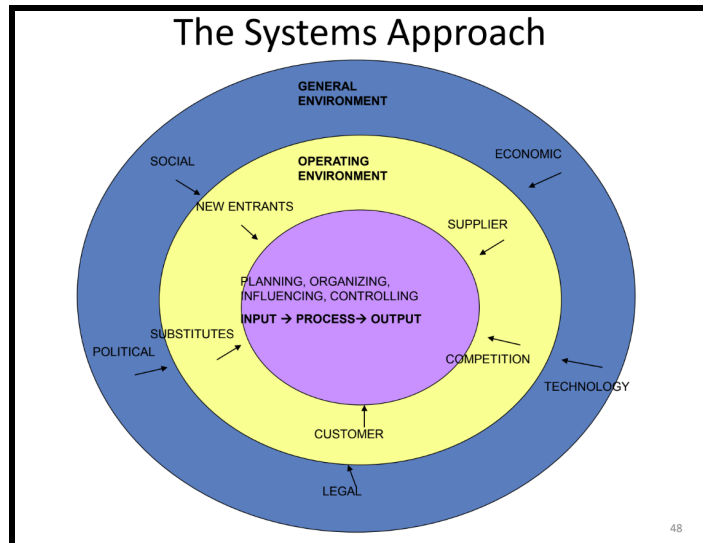
Why is the Systems Approach Important?

- ✓ **Recognizes interdependence** – A change in one department affects the entire organization.
- ✓ **Encourages adaptability** – Businesses must respond to customer needs, technology, and competition.
- ✓ **Promotes efficiency** – Aligns departments (e.g., marketing, production, HR) for better decision-making.

Example:

- If a company **fails to monitor customer trends**, even an **efficient production department** will suffer because products may become **obsolete**.
- If **purchasing fails** to order the right materials, the **production department cannot function**.





2. Contingency Approach – Management Depends on the Situation

The **Contingency Approach** (or **Situational Approach**) challenges the idea that **one universal management style works for all organizations**.

Key Idea:

"If X is the situation, then Y is the best way to manage it."

This approach recognizes that **business environments vary**, requiring **different management strategies** based on the situation.

Example:

- A **small tech startup** might benefit from **flexible leadership**, encouraging innovation.
- A **large manufacturing company** may require **strict hierarchy and structure** to maintain efficiency.

Four Key Contingency Variables (Exhibit MH-8):

1. **Organization Size** – Large organizations may need **formal structures**, while small firms can be **more flexible**.
 - **Example:** A **startup** can have a **flat hierarchy**, but **Walmart** needs a **complex structure**.
2. **Technology Used** – The type of technology affects **management styles**.
 - **Example:** A **software company** might focus on **remote collaboration**, while a **factory** requires **strict scheduling**.
3. **Environmental Uncertainty** – The more unpredictable the market, the more **adaptive management** must be.

- **Example: Tech firms must innovate constantly**, whereas **traditional industries like agriculture are more stable**.
- 4. **Individual Differences** – Employees have different **motivations, personalities, and skills**, requiring different management approaches.
 - **Example: Creative employees thrive in open environments**, while **technical workers may need structured guidance**.

EXHIBIT MH-8 Popular Contingency Variables	Organization Size. As size increases, so do the problems of coordination. For instance, the type of organization structure appropriate for an organization of 50,000 employees is likely to be inefficient for an organization of 50 employees. Routineness of Task Technology. To achieve its purpose, an organization uses technology. Routine technologies require organizational structures, leadership styles, and control systems that differ from those required by customized or nonroutine technologies. Environmental Uncertainty. The degree of uncertainty caused by environmental changes influences the management process. What works best in a stable and predictable environment may be totally inappropriate in a rapidly changing and unpredictable environment. Individual Differences. Individuals differ in terms of their desire for growth, autonomy, tolerance of ambiguity, and expectations. These and other individual differences are particularly important when managers select motivation techniques, leadership styles, and job designs.
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Why is the Contingency Approach Important?

- ✓ **Encourages flexibility** – Managers **adjust strategies based on situations**.
- ✓ **Avoids rigid structures** – No **single method** works for all businesses.
- ✓ **Improves problem-solving** – Encourages **customized solutions** for different challenges.

Example:

- A **hospital manager** may adopt **strict procedural guidelines** for surgeries but a **flexible approach** for patient care services.

How Contemporary Approaches Influence Management Today

1. Impact of the Information Age

- The rise of **digital technology and globalization** has **changed management**.
- Managers now **lead remote teams**, analyze **real-time data**, and handle **global markets**.

Example:

- **Amazon** uses **AI and predictive analytics** to manage inventory, customer service, and logistics.
- **Google** enables **remote work**, requiring managers to focus on **communication and collaboration tools**.

2. Cross-functional Teams and Collaboration

- Organizations now **function as interdependent networks** instead of rigid hierarchies.
- **Example: Microsoft teams** work across departments, integrating **marketing, software development, and customer insights**.

3. Adaptive Leadership

- Managers must **respond quickly to changing conditions**, such as **economic shifts, market trends, and crises**.
 - **Example: COVID-19** forced businesses to adopt **remote work and digital services overnight**.
-